

Contractor Scam Protection Guide

The \$12,000 Mistake (And How to Never Make It)

You hired someone to fix your home. They took your deposit and ghosted. Or they did half the work, demanded the rest of the payment upfront, and vanished. Or worse — they started, left your house a mess, and you have no legal recourse.

This guide exists because contractor fraud is not rare. It follows a predictable pattern of red flags that most homeowners don't know to look for. This guide gives you the exact checklist to verify a contractor before signing anything, the contract clauses that protect your money, and the steps to take if you've already been burned.

This is not a guide about "finding a good contractor." It's about protecting yourself from the ones who will hurt you.

Page 1: The Fraud Pattern (Why This Keeps Happening)

Contractor fraud works because homeowners rush. The leak is spreading. The roof is failing. The contractor who answered immediately feels like salvation. Scammers exploit urgency.

The most common fraud pattern:

1. **Solicitation** — They knock on doors after a storm, or they show up in your neighborhood with flyers. Legitimate contractors don't cold-call.
2. **Urgency** — "I can start tomorrow, but I need a deposit today to hold the slot."
3. **Large upfront payment** — They ask for 50% or more before any work begins.
4. **No paper trail** — Verbal agreements, handwritten receipts, no contract.
5. **Cash only** — Refuses check or credit card. Wants payment in person, often to a third party.
6. **License and insurance gaps** — When you ask, they stall, deflect, or show a document that looks official but isn't.
7. **The vanish** — Once they have the deposit, work either doesn't start or stops halfway. Getting your money back is nearly impossible without the right documentation.

Understanding this pattern is step one. Now here's how to stop it.

Page 2: License and Identity Verification

Before you sign anything — before you pay anything — run these five checks. Takes 15 minutes. Saves thousands.

2.1 State License Board Check

Every state has a Contractors State License Board (CSLB) or equivalent. Search "[your state] contractor license lookup" or go to your state's Department of Consumer Affairs website.

What to verify: • **License number** — Ask the contractor for their license number. Cross-reference it on the CSLB website. •

Business name match — The name on the license must match the name on the contract. Scammers use names similar to legitimate firms. • **License status** — Active, expired, or suspended? An expired license means they're operating illegally. • **License classifications** — Contractors are licensed for specific types of

work. A general contractor can't do electrical work without the right classification. • **Bonding status** — A contractor's bond is a financial guarantee. If they fail to complete work, the bond can compensate you. Verify the bond is current and sufficient for your project size.

California example: [cslb.ca.gov](https://www.cslb.ca.gov) — you can search by name or license number. For other states, search "contractor license board [state]."

2.2 Insurance Verification

Contractors must carry liability insurance and workers' compensation. Ask for: • **Certificate of Insurance (COI)** — The contractor's insurer can email this directly to you. If they say they "have insurance" but can't produce a COI within 24 hours, that's a red flag. • **Policy limits** — Minimum recommended: \$1M general liability. For large projects, get the policy reviewed. • **Your name as additionally insured** — This is optional but recommended. It means you're covered if something goes wrong on your property.

2.3 Business Registration

Check with your Secretary of State or county clerk: • Is the business registered? • How long has it been operating? • Who is the registered agent?

A company that was registered six months ago with no track record is a higher risk than one operating for ten years.

Page 3: The Contract Clauses That Protect You

A contract isn't just a piece of paper. It's your only leverage. Here's what must be in it.

3.1 Required Contract Elements

Every home improvement contract should include:

CLAUSE	WHY IT MATTERS
Full scope of work	Detailed description of what will be done, including materials and brands
Start and completion dates	Concrete dates, not "as soon as possible"
Payment schedule	Tied to milestones, not calendar dates
Change order process	How extra work and cost changes are documented and approved
Warranty clause	Who is responsible if work fails after completion
Termination clause	Your right to cancel and the refund terms
Lien waiver	Protects you from subcontractors placing liens on your home if the contractor doesn't pay them

3.2 The Payment Schedule Rule

Never pay more than 1/3 upfront for any home improvement project. This is the standard across most states with consumer protection laws.

California's CSLB sets the maximum down payment for residential work at \$1,000 or 10% of the contract price, whichever is less — unless materials are already purchased and staged.

The correct payment schedule: • 1/3 at contract signing (or less, if materials aren't involved) • 1/3 at project midpoint (withhold until verified progress) • 1/3 at completion and sign-off

Never pay in cash. Use check, credit card, or a payment platform with fraud protection. If the contractor insists on cash, walk away.

3.3 Never Sign These Documents

- **Assignment of benefits agreements** — These give the contractor authority to deal directly with your insurance company and collect payment. You lose visibility and control.
- **Blank change orders** — A change order must be signed before extra work begins, not after.
- **Waivers releasing the contractor from liability** — If presented, stop and consult a lawyer.

Page 4: The Red Flags Checklist (Before You Sign)

Run through this before hiring anyone:

The contractor: - ☐ Can't produce a COI within 24 hours - ☐ License number doesn't verify on the state board - ☐ Business name on the license doesn't match the contract - ☐ Shows up uninvited (door-to-door solicitations are a primary fraud vector) - ☐ Claims to have "deals" that expire today - ☐ Refuses to provide references — and when references are provided, they don't answer or sound scripted

The contract: - ☐ No start or completion date - ☐ Payment schedule requires more than 1/3 upfront - ☐ No detailed scope of work - ☐ Missing warranty or lien waiver clauses - ☐ Cash only

The payment: - ☐ Wants more than 33% upfront - ☐ Wants cash or payment to a third party - ☐ Offers a discount for paying in full upfront

Any single flag here should pause the process. Multiple flags means walk away.

Page 5: Damage Control — If You've Already Been Scammed

If you've already paid and things went wrong, here's what to do — in order.

Step 1: Document Everything (Right Now)

Open a folder — physical or digital. Add:

- The contract (signed and unsigned versions)
- All receipts and payment records (bank statements, credit card transactions)
- Photos of the work done (before, during, after)
- All written communications (texts, emails)
- Voicemails (transcribed)
- Notes on all phone calls (date, time, what was said)

This documentation is the foundation of every recovery path.

Step 2: File a CSLB Complaint

If your contractor is licensed, file a complaint with the Contractors State License Board in your state. California's CSLB investigates fraud, license violations, and can issue citations, suspend licenses, and in some cases, order restitution.

CSLB complaints must typically be filed within a specific timeframe from the incident — often 3-4 years, but varies by state. File immediately.

For unlicensed contractors, file a complaint with your state's consumer protection division and the Attorney General's office.

Step 3: File a Police Report

If the amount lost exceeds your state's threshold for theft by deception (often \$950-\$1,000), file a police report. This creates a legal record and can trigger a fraud investigation. Keep the case number.

Step 4: Contact Your Insurance Company

If the contractor was working on your property and caused damage, or if you have home warranty or home improvement

insurance, contact your insurer. They may have fraud investigation resources and may cover some losses depending on your policy.

Step 5: File a Mechanics Lien

If the contractor stopped work but didn't complete the job, and you paid them — you may have grounds to place a mechanics lien on your property. This prevents the contractor from monetizing the property and protects your title. Consult a real estate attorney for this step.

Step 6: Small Claims or Civil Court

For amounts under your state's small claims limit (typically \$5,000–\$15,000), you can sue in small claims court without a lawyer. For larger amounts, consult a construction law attorney. Many offer free initial consultations.

Step 7: Report to the FTC

File a report at reportfraud.ftc.gov. The FTC tracks patterns of fraud and may build cases across multiple victims.

Page 6: Finding and Hiring a Legitimate Contractor

The right process for hiring a contractor — when you're not in crisis mode:

- 1. Get three written bids.** Not estimates — full written bids with scope of work, materials, timeline, and payment schedule.
- 2. Verify each bid against the checklist above.** Treat the license and insurance check as mandatory, not optional.
- 3. Call their references.** Specifically ask: Did the project finish on time and on budget? Would you hire them again?
- 4. Check online reviews** — but treat them critically. Look for patterns: one-off complaints vs. repeated issues.
- 5. Check the Better Business Bureau** and your state's consumer complaint database.

6. Contact your state's Home Builders Association or local contractor association — members often carry better insurance and bonding than non-members.

The best contractors are usually booked 4-8 weeks out. If someone can start tomorrow and demands a deposit today, that should concern you.

Page 7: State-by-State License Resources

STATE	LICENSE BOARD	WEBSITE
California	Contractors State License Board	cslb.ca.gov
Texas	Texas Department of Licensing and Regulation	tdlr.texas.gov
Florida	Florida Department of Business and Professional Regulation	myfloridalicense.com
New York	New York State Department of State	dos.ny.gov
Illinois	Illinois Department of Financial and Professional Regulation	idfpr.illinois.gov
Pennsylvania	Pennsylvania Attorney General	attorneygeneral.gov
Ohio	Ohio Construction Industry Board	com.state.oh.us
Georgia	Georgia State Licensing Board	sos.ga.gov
North Carolina	NC Licensing Board for General Contractors	nclbgc.org
Michigan	Michigan Department of Licensing and Regulatory Affairs	michigan.gov/lara

For other states, search "[State] contractor license board."

Page 8: The One-Page Vetting Summary

Print this. Keep it by your home files.

Before Hiring Any Contractor:

1. ☐ License number verified on state CSLB website
2. ☐ Insurance COI received within 24 hours (\$1M liability minimum)
3. ☐ Business registered with Secretary of State
4. ☐ Three written bids obtained
5. ☐ References called and verified
6. ☐ Contract reviewed against the required clauses checklist
7. ☐ Payment schedule: no more than 1/3 upfront
8. ☐ No cash payments — check, credit card, or protected payment platform only

Red Flags That Kill the Deal: • License doesn't verify • More than 33% upfront • Cash only • No written contract • Door-to-door solicitation • "Today's the last day for this price" • Assignment of benefits requested • Business registered less than 1 year ago with no verifiable track record

Page 9: Your Recovery Checklist (If Already Scammed)

If you've already lost money:

- ☐ Document everything (contract, receipts, photos, communications)
- ☐ File a CSLB / state license board complaint (licensed contractor)
- ☐ File a police report (amount above state theft threshold)
- ☐ File an FTC complaint at reportfraud.ftc.gov

- [] Contact your insurance company if property damage occurred
- [] Consult a construction law attorney for mechanics lien and civil options
- [] Small claims court if amount is within limits and other routes exhausted

Time matters. Evidence disappears. File now, even if you're still trying other approaches.

Page 10: Next Steps — Protect Your Home

You're now equipped with the full checklist. Here's what to do next depending on where you are:

If you're preparing to hire a contractor: Download and print the vetting checklist on Page 8. Before signing anything, run every check. A 15-minute verification process could save you \$12,000.

If you've already been scammed: Start with Page 5, Step 1 (documentation) and Step 2 (file the CSLB complaint). Do it today.

If you're in a dispute with a contractor but haven't lost money yet: Do not make any further payments until the dispute is resolved in writing. Send a formal demand letter (sample templates available through your state's attorney general consumer protection office).

Free Checklist Available

A printable one-page version of the vetting checklist and the recovery checklist are available as a free download.

Your Bonus: Included — available in your Lemon Squeezy library.